DEAL INTELLIGENCE

BLP Bought a 782,775-SF Warehouse. Here's What the Seller Had to Believe.

The transaction reveals how industrial basis is set when the developer's clock runs out and the buyer controls the liquidity.

July 24, 2026 · RE Business Online · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

Bridge Logistics Properties just bought a 782,775-square-foot distribution facility in Frederickson, Washington. The seller was Panattoni. The tenant is Harbor Freight Tools, fully occupying the building on a long-term lease. The terms were not disclosed.

The most revealing number in this transaction is not the price. It is the date the building was delivered: 2024.

Panattoni developed this facility as part of Fred310, a larger industrial park in the Seattle-Tacoma metro area. It delivered the building in 2024. By July 2026, it had sold it. That is a two-year hold on a newly built, fully leased, Class A distribution center. For a developer of Panattoni's scale, that is not a hold period. It is a liquidity event.

Developers do not sell stabilized, long-term-leased industrial assets two years after delivery because they want to. They sell because the capital that funded the construction has a different clock than the capital that owns the stabilized asset. Construction loans, mezzanine debt, and preferred equity all have maturities, extension options, and return thresholds. When the building leases up, the construction capital wants its money back. The developer can either refinance into permanent debt and hold, or sell and recycle. Panattoni chose to sell.

The choice tells us something about the basis. If Panattoni could have refinanced at a lower cost of capital than the yield a buyer would accept, it would have held. It did not. That means the spread between the construction loan payoff and the permanent financing proceeds was too narrow, or the developer's required equity return was already met, or the buyer offered a price that made selling more attractive than holding. Any of those explanations points to the same conclusion: the basis at which this asset traded was set by the seller's need for liquidity, not by the buyer's enthusiasm for the asset.

BLP, the buyer, is a logistics-focused real estate investment firm. It is not a developer. It buys stabilized, long-term-leased industrial properties and holds them. Its cost of capital is different from Panattoni's. BLP can underwrite a lower going-in yield because it plans to own the asset through the lease term, collect the rent, and sell when the basis appreciates or the lease expires. Panattoni could not wait for that. It needed to clear the construction capital stack.

The facility itself is strong. Forty-foot clear heights. Cross-dock configuration with 152 dock-high doors. Full concrete oversized truck courts. 476 trailer stalls. 4,000 amps of power with expansion capability. ESFR sprinklers. Separate truck and auto entrances. Harbor Freight Tools uses it as a regional distribution center for more than 1,600 stores. That is a credit tenant on a long-term lease in a modern, well-located building. It is exactly the kind of asset that should trade at a tight cap rate.

But the cap rate is not the only number that matters. The basis is. And the basis in this transaction was set by the seller's timeline, not the asset's quality. That is the difference between a market where capital flows freely and a market where liquidity is conditional. In a free-flowing market, the buyer and seller negotiate on equal footing. In a conditional market, the party with the shorter clock concedes basis. Panattoni had the shorter clock.

This is not a distress sale. Panattoni is a sophisticated, well-capitalized developer. It did not sell because it had to. It sold because the math of its capital stack made selling the rational choice. But the distinction matters for every owner, lender, and investor watching industrial pricing. The transaction does not prove that industrial values are rising. It proves that a developer with a 2024 delivery and a 2026 sale could find a buyer at a price that cleared the construction loan. That is a narrower signal than "industrial is strong." It is "industrial with a credit tenant and a modern building can trade when the seller needs it to."

The market should test what happens when the seller does not have a credit tenant. Or when the building is five years old instead of two. Or when the lease has five years remaining instead of ten. Those are the assets where the basis will be set by the buyer's required return, not the seller's timeline. And that basis will be lower.

BLP bought a good building at a price that made sense for its capital. Panattoni sold a good building at a price that made sense for its capital. Both parties made a rational decision. The only question is which one had more time. The answer tells you who set the price.

SOURCES

— RE Business Online — https://rebusinessonline.com/blp-buys-782775-sf-distribution-facility-in-frederickson-washington/

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